LAWS1150 - Midterm Sample Distinction Response

Principles of Private Law (University of New South Wales)



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I. JammyJam and Kai

The primary issue concerns whether a valid contract was formed between JammyJam and Kai.

When determining the existence of an offer, an objective standard is applied.[1] Conducting textual analysis, the initial message by Kai contains promissory language, with words such as “agree” and “will”, over “if”.[2] Furthermore, Kai’s query as to whether their terms are “all good” for JammyJam establishes their message as being capable of acceptance, fulfilling the objective standard and constituting an offer. However, uncertainty from incompleteness arises in that no timeframe for the launch (performance) is given in the agreement, threatening validity of the contract due to its essentiality.[3]

Acceptance must be communicated to the offeror for contractual formation.[4] Whilst JammyJam communicates acceptance to Kai’s terms, JammyJam’s counter-request for a final agreement with e-signatures potentially makes this a preliminary agreement; as such, a contractual issue arises as to whether this acceptance holds an intention to create legal relations.[5] Because the preliminary agreement contains all the assented-to terms, the final agreement requested is arguably a more precise rewriting.[6] This coupled with the promissory statement to pay,[7] mutual assent indicating a “meeting of the minds”,[8] and the feasible existence of acceptance without signature favours intention.

Consideration requires an objective standard in that sufficient value (benefit to the promisor, or detriment to the promisee) must be exchanged *quid pro quo* for a legally binding promise.[9] Kai pledges a bitcoin sum for JammyJam’s promise to play three wars every twenty-four hours

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for the launch. This constitutes a *quid pro quo* exchange of a promise for monetary detriment, lending itself to good consideration.[10] However, an issue arises through uncertainty concerning the clause stipulating Kai's consideration. The promise of a 'market-rate commensurate sum' is unlikely to constitute a sufficiently certain description for a monetary sale, given the lack of a specific market rate for 'professional gaming' remuneration.[11] Given the clause's essentiality to the contract, it is unlikely the courts will sever the term, threatening contractual validity.[12] This uncertainty is compounded by the volatile nature of bitcoin, a non-fiat currency with no inherent value, which casts aspersions around its sufficiency as consideration.[13]

Assuming good consideration, a promise is only legally binding if coextensive with the flow of consideration.[14] This poses an issue, as the clause stipulating JammyJam's promise to play twenty-minutes per game was added post-agreement. Because fresh consideration did not flow from Kai to JammyJam in exchange for this new promise, it is unlikely the courts will find it legally binding. Assuming the opposite, uncertainty stemming from the lack of an external standard surrounding factors such as JammyJam's skill, gameplay difficulty etc. would likely render this clause unenforceable nonetheless.[15] However, contractual validity is potentially unaffected provided this clause is found non-essential by the court and severed.[16]

Thus, given the uncertainty surrounding payment and duration of performance, as well as the contentious sufficiency of Kai's consideration, the courts are likely to tentatively conclude no valid contract exists between JammyJam and Kai; the lack of consideration for and potential severance of the minutes clause renders it unenforceable also. As such, it is unlikely any of Kai's potential contractual claims against JammyJam will be successful.

II. JammyJam and @#@

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The doctrine of privity stipulates only those party to a contract can enforce its terms and suffer its obligations, [17] with limited exceptions. The primary issue concerns whether @#@ is privy to Kai's contract with JammyJam.

One manner in which @#@ is privy is as a contracting party, namely a joint-promisee with Kai, as then it is sufficient that consideration moves from only one of them.[18] Though @#@ has no direct involvement in negotiations with JammyJam, the inclusive word "we" utilised in Kai's initial offer favours @#@ being a party.[19] Furthermore, @#@ is benefitted by JammyJam's promise to Kai given their profit-driven-interest in the game's success, making them a third-party beneficiary,[20] and meeting the standard for joint-promisee.

Compliance notwithstanding, an exception to the doctrine presents itself if Kai is found acting as an agent for @#@ during contractual formation.[21] Given Kai and @#@'s commercial relationship, as well as Kai's explicit stipulation that consideration is flowing from them solely because @#@ is unable to also do so in the agreed mode, there is a favourable notion that an implied agency relationship has arisen between them in the circumstances, despite no written agreement. This potentially excepts @#@ from the doctrine of privity.[22]

Thus, on balance, it is likely the courts will tentatively conclude @#@ is privy to the contract as either joint-promisee or principal of agency, and assuming it is found valid, consider any contractual claims they may have against JammyJam; likelihood of success remains dependent on the contract.

III. JammyJam and Ninja

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The primary issue concerns whether a valid contract was formed between JammyJam and Ninja.

Employing textual analysis, JammyJam's use of promissory language such as "will" favours their initial message being an offer.[23] However, an issue arises in that there is no clause requesting Ninja's assent to the terms. The message is not capable of acceptance, and thus the objective standard for an offer is not fulfilled.[24] Assuming the opposite, another issue arises in that Ninja replies with a new rate, presenting a counteroffer and killing JammyJam's initial offer.[25] However, this message similarly stipulates no query of assent, thus being incapable of receiving acceptance to its terms and unable to constitute an offer.[26] Furthermore, whilst explicit dollar values are mentioned in both, uncertainty through incompleteness arises through no inclusion of a mode of payment, threatening validity. Given the term's essentiality and Ninja's substantial execution of contract however, it is likely the courts will imply this missing term.[27]

Presuming a counteroffer, acceptance must be communicated to Ninja, the new offeror, for contractual formation.[28] Given the online mode of correspondence, acceptance is governed by the *Electronic Transactions Act 2000* (NSW).[29] Section 13A(i)(a) stipulates the time of receipt of electronic communication is when it becomes "capable of being received by the addressee", i.e., when it is sent.[30] Given no such reply is sent by JammyJam to Ninja when their message becomes capable of being read, an issue arises as silence is incapable of constituting acceptance.[31] However, JammyJam teaming up with Ninja potentially constitutes assent to their terms from the point of an "objective bystander", and thus acceptance inferred from

conduct.[32] Furthermore, it is tenable to assume an intention to create legal relations through Kai's promissory statement to pay Ninja,[33] made in a commercial context despite being between 'old friends'.[34]

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Consideration-wise, Ninja promises to team-up with JammyJam in exchange for $50 per game; this constitutes a *quid pro quo* exchange of sufficient value for a legally binding promise, and thus good consideration.[35]

Thus, given the failure of JammyJam and Ninja's initial statements to meet the objective standard for an offer, both being incapable of acceptance, the courts are likely to tentatively conclude no valid contract exists between either party. As such, it is unlikely any of Ninja's contractual claims against JammyJam will be successful.

IV. JammyJam and Sventy7

The primary issue concerns whether a valid contract was formed between JammyJam and Sventy7.

JammyJam's video-message arguably constitutes a unilateral offer to the world.[36] This is favoured by the inclusion of a specific dollar-amount, i.e., 'no puff', as well as reliance on a specific act being performed for acceptance.[37] However, whilst an explicit dollar-value

is mentioned, uncertainty through incompleteness arises through the exclusion of a mode of payment, timeframe of offer etc., questioning the offer's sincerity, and thus threatening validity of the contract.[38]

Assuming sincerity, acceptance for unilateral offers is constituted by performance of the offeror's terms.[39] Sventy7 has performed the act stipulated by JammyJam's offer, constituting acceptance *prima facie*. However, an issue arises in that performance/acceptance for any offer must be conducted "with the offer in mind".[40] Because Sventy7 jammed JammyJam neither intending to do so, nor with respect to the offer, it is unlikely the courts will hold this performance constitutes acceptance. Furthermore, it is unlikely that Sventy7 had the intention to create legal relations when conducting the performance in-game, diminishing contractual validity.[41]

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Presuming acceptance was found, a *quid pro quo* flow of sufficient value in exchange for a legally binding promise must be present.[42] Here, there is no exchange of any form of benefit to the promisor or detriment to the promisee for the legally binding promise: Sventy7 receives both $300 and a promise to receive it from JammyJam, who in turn gets hindered in-game.

receives nothing material. Sventy7 incurs no detriment in exchange for JammyJam's promise, and JammyJam receives no direct benefit for the promise, thus failing the benefit/detriment test for consideration.[43] Therefore, it is likely the courts will find JammyJam's offer of $300 a conditional gift rather than sufficient consideration for a legally binding promise.[44]

Thus, given the absence of acceptance "with the offer in mind",[45] as well as no *quid pro quo* flow of consideration, it is likely the courts will tentatively conclude no valid contract exists between JammyJam and Sventy7. As such, it is unlikely any of their potential contractual claims against JammyJam will be successful.

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[1] *Gibson v Manchester City Council* [1979] 1 WLR 294 House of Lords.

[2] Ibid.

[3] *Milne v Attorney-General For the State of Tasmania* [1956] HCA 48.

[4] *Brinkibon Ltd v Stahag Stahl und Stahlwarenhandelsgesellschaft mbH* [1983] 2 AC 34 (House of Lords).

[5] *Masters v Cameron* (1954) 91 CLR 353 HCA.

[6] Ibid.

[7] *Banque Brussels Lambert SA v Australian National Industries Ltd* (1989) 21 NSWLR 502.

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[8] *Brambles Holdings v Bathurst City Council* [2001] NSWCA 61.

[9] *Beaton v McDivitt* (1987) 13 NSWLR 162.

[10] *Australian Woollen Mills Pty Ltd v The Commonwealth* (1954) 92 CLR 424.

[11] *Hall v Busst* (1960) 104 CLR 206.

[12] *Whitlock v Brew* (1968) 118 CLR 445.

[13] Giancasparo, Mark, "Cryptocurrency And The Consideration Conundrum: Does Crypto Have Legal Value Under Contract Law?" (2022) 33(1) *Journal of Banking and Finance Law and Practice*.

[14] *Roscorla v Thomas* (1842) 3 QB 234.

[15] *Biotechnology Australia Pty Ltd v Pace* (1988) 15 NSWLR 130.

[16] *Whitlock v Brew (1968)* 118 CLR 445.

[17] *Coulls v Bagot's Executor and Trustee Co Ltd* [1967] HCA 3.

[18] Ibid.

[19] Ibid.

[20] Ibid.

[21] *Port Jackson Stevedoring v Salmon & Spraggon (Australia) Pty Ltd* [1981] 1 WLR 138.

[22] Ibid.

[23] *Gibson v Manchester City Council* [1979] 1 WLR 294 House of Lords.

[24] Ibid.

[25] *Butler Machine Tool Co Ltd v Ex-Cell-O Corp (England) Ltd* 1 WLR 401.

[26] *Gibson v Manchester City Council* [1979] 1 WLR 294 House of Lords.

[27] *Milne v Attorney-General For the State of Tasmania* [1956] HCA 48.

[28] *Brinkibon Ltd v Stahag Stahl und Stahlwarenhandelsgesellschaft mbH* [1983] 2 AC 34 (House of Lords).

[29] *Electronic Transactions Act 2000* (NSW) (‘*ETA’*).

[30] *ETA* s 13A(i)(a).

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[31] *Felthouse v Bindley* (1862) 142 ER 1037.

[32] *Empirnall Holdings Pty Ltd v Machon Paull Partners Pty Ltd* (1988) 14 NSWLR 527.

[33] *Banque Brussels Lambert SA v Australian National Industries Ltd* (1989) 21 NSWLR 502.

[34] Ibid.

[35] *Australian Woollen Mills Pty Ltd v The Commonwealth* (1954) 92 CLR 424.

[36] *Carlill v Carbolic Smoke Bal*l [1893] 1 QB 256.

[37] Ibid.

[38] Ibid.

[39] Ibid.

[40] *R v Clarke* (1927) 40 CLR 227.

[41] *Ermogenous v Greek Orthodox Community of SA Inc* (2002) 209 CLR 95.

[42] *Australian Woollen Mills Pty Ltd v The Commonwealth* (1954) 92 CLR 424.

[43] *Beaton v McDivitt* (1987) 13 NSWLR 162.

[44] *Australian Woollen Mills Pty Ltd v The Commonwealth* (1954) 92 CLR 424.

[45] *R v Clarke* (1927) 40 CLR 227.

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